

DEC 2020 - IFRS

Q1: CONSOLIDATE :

Exhibits

Alpha, a parent with one subsidiary, Beta, is preparing the consolidated statement of financial position as at 30 September 20X5.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

- 1- Financial statement extracts – statements of financial position (SOFP) of Alpha and Beta at 30 September 20X5.
- 2- Alpha's investment in Beta – details of Alpha's investment in Beta which are relevant to the question.
- 3- Intra-group trading – details of intra-group trading.
- 4- Impairment review – details of Alpha's impairment review of the investment in Beta including goodwill.
- 5- Retirement plan – details of Alpha's defined benefit retirement plan.

This information should be used to answer the question requirement within the response option provide

1- Financial statement extracts – statements of financial position (SOFP) of Alpha and Beta at 30 September 20X5.

	Alpha	Beta
	\$'000	\$'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2)	250,000	170,000
Investments in equity instruments (Exhibits 2 and 4)	180,000	nil
	<u>430,000</u>	<u>170,000</u>
Current assets		
Inventories (Exhibit 3)	80,000	60,000
Trade receivables	90,000	55,000
Cash and cash equivalents	30,000	25,000
	<u>200,000</u>	<u>140,000</u>
Total assets	<u>630,000</u>	<u>310,000</u>
Equity and liabilities		
Share capital (\$1 shares)	160,000	80,000
Retained earnings	150,000	85,000
Other components of equity	60,000	45,000
Total equity	<u>370,000</u>	<u>210,000</u>
Non-current liabilities		
Long-term borrowings	90,000	15,000
Deferred tax	20,000	15,000
Pension liability (Exhibit 5)	50,000	nil
Total non-current liabilities	<u>160,000</u>	<u>30,000</u>
Current liabilities		
Trade and other payables	70,000	50,000
Current tax payable	30,000	20,000
Total current liabilities	<u>100,000</u>	<u>70,000</u>
Total liabilities	<u>260,000</u>	<u>100,000</u>
Total equity and liabilities	<u>630,000</u>	<u>310,000</u>

2- Alpha's investment in Beta – details of Alpha's investment in Beta which are relevant to the question.

On 1 October 20X4, Alpha acquired 60 million shares in Beta and gained control of Beta. Alpha made a cash payment of \$175 million to the former shareholders of Beta on 1 October 20X4. Alpha incurred acquisition costs of \$5 million and has presented the total costs of \$180 million as investments in equity instruments.

A condition of the purchase agreement was that Alpha would make a further cash payment to the former shareholders of Beta on 30 September 20X7. The amount of this further cash payment depends on the performance of Beta in the three-year period from 1 October 20X4 to 30 September 20X7. On 1 October 20X4, the fair value of this conditional payment was

\$60 million. Because the performance of Beta in the year ended 30 September 20X5 was below expectations, the fair value of the conditional payment had reduced to \$50 million by 30 September 20X5. Alpha has not made any entries in its own financial statements in respect of this conditional payment.

On 1 October 20X4, Beta had retained earnings of \$80 million and other components of equity of \$45 million.

On 1 October 20X4, the fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of property, plant and equipment which had a carrying amount of \$150 million and a fair value of

\$205 million. On 1 October 20X4, the useful life of this property, plant and equipment was five years. The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred tax. The relevant rate of income tax to use for this purpose is 20%.

The directors of Alpha measured the non-controlling interest in Beta at its fair value at the date of acquisition. On 1 October 20X4, the fair value of the non-controlling interest was \$65 million.

3- Intra-group trading – details of intra-group trading.

Since 1 October 20X4, Beta has been supplying Alpha with a product. Beta earns a margin of 25% on this product. On 30 September 20X5, the inventories of Alpha included \$20 million in respect of the product. There were no outstanding intra-group balances at 30 September 20X5.

4- Impairment review – details of Alpha's impairment review of the investment in Beta including goodwill.

Alpha undertook an impairment review of its investment in Beta at 30 September 20X5. Beta comprises three cash generating units for impairment review purposes. Relevant details are as follows:

Cash generating unit (CGU)	Percentage of net assets and goodwill	Recoverable amount of CGU at 30 September 20X5
	%	\$'000
A	40	100,000
B	35	110,000
C	25	80,000

5- Retirement plan – details of Alpha’s defined benefit retirement plan.

Alpha has established a defined benefit retirement plan for its current and former employees. Beta has not established such a plan. The statement of financial position of Alpha in Exhibit 1 shows the net defined benefit pension liability at 30 September 20X4.

During the year ended 30 September 20X5, Alpha made a payment of \$30 million to the plan. When making this payment, Alpha debited retained earnings and credited cash. This is the only accounting entry which has been made in relation to the plan for the year to 30 September 20X5.

The current service cost for the year ended 30 September 20X5 was \$25 million. The net interest cost on the pension liability for the year ended 30 September 20X5 was \$2.5 million.

On 30 September 20X5, the defined benefit pension liability was \$160 million and the fair value of the plan assets was \$105 million.

Using the information in Exhibits 1 - 5, prepare the consolidated statement of financial position of Alpha at 30 September 20X5.

Note: Unless specifically referred to in the exhibits you should ignore deferred tax.

(25 marks)

Q2:

Exhibits

Gamma prepares financial statements to 30 September each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

- | |
|---|
| <ol style="list-style-type: none">1. Issue of convertible loan.2. Purchase of machine. |
|---|

This information should be used to answer the question **requirement** within your chosen **response option(s)**.

1- Issue of convertible loan.

On 1 October 20X4 Gamma borrowed \$200 million. This amount is repayable on 30 September 20X9. The loan attracts interest at 8% per annum, payable annually in arrears on 30 September each year.

On 30 September 20X9, the lenders can elect to receive 50 million shares in Gamma as an alternative to receiving repayment. If this election were not available, the lenders would have required Gamma to pay interest at the prevailing market rate of 10% per annum, rather than 8%.

On 1 October 20X4, Gamma incurred costs of \$2 million in arranging the loan. The impact of the issue costs was to increase the effective interest rate to 10.3%.

Discount factors which may be relevant are as follows:

Discount factor

Discount factor			
Present value of \$1 payable in:		8%	10%
1 year		\$0.926	\$0.909
2 year		\$0.857	\$0.826
3 year		\$0.793	\$0.751
4 year		\$0.735	\$0.683
5 year		\$0.681	\$0.621
Cumulative present value of \$1 payable at the end of years 1-5		\$3.99	\$3.79

2- Purchase of machine.

On 1 November 20X4. Gamma placed an order for machinery which was to be used in a new business venture. The initial cost of the machinery was \$30 million. The machinery was delivered on 30 November 20X4. The machine required further development and installation at Gamma's premises. This was carried out by the supplier and took from 1 December 20X4 until 30 April 20X5. The total additional cost of this development and installation was \$60 million. The supplier allowed Gamma two months credit from the date of completion of the installation. On 30 June 20X5, Gamma paid \$90 million to the supplier.

Following the installation of the machinery, the employees attended a training course to ensure they could operate the machinery. The training was completed on 15 May 20X5 at a total cost of

\$1 million. Under legal regulations in the country in which Gamma is situated, a safety certificate

is necessary for the machinery to be legally used. On 31 May 20X5, the machinery underwent a government inspection and a safety certificate was issued. The cost of the inspection and the safety certificate, paid on 30 June 20X5, was \$600,000. Due to economic uncertainties, the machinery was not brought into use until 31 July 20X5.

The new business venture in which the machinery is being used is one which qualifies for preferential loans. These loans are of 12 months duration and carry a fixed annual interest rate of 4%. They are available only on 1 November each year. Therefore on 1 November 20X4, Gamma borrowed \$90 million and repaid this amount. Including accrued interest, on 31 October 20X5.

The estimated useful life of the machinery is ten years. However, the machinery's engine will require replacement after five years. The current replacement cost of the engine is \$24 million. Gamma estimates that the replacement cost of the engine in five years' time will be \$30 million. (15 marks)

Using the information in Exhibits 1 and 2, explain and show how the two events would be reported in the financial statements of Gamma for the year ended 30 September 20X5.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- The mark allocations are indicated in each exhibit.

(25 marks)

Q3:

Exhibits

Delta prepares financial statements to 30 September each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Share-based payment – information on Delta's share-based payment scheme for senior executives.
2. Sale of two properties – information on the sale of surplus properties.
3. Sale of two business units – information on the sale of two of Delta's business units.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

1- Share-based payment:

On 1 October 20X3, Delta granted 3,000 share options to 50 senior executives. The options are due to vest on 30 September 20X6. In order to be entitled to exercise the options, the executives had to remain in employment until at least 30 September 20X6.

On 1 October 20X3, Delta estimated that 10 executives would leave prior to 30 September 20X6. This estimate was confirmed when the financial statements for the year ended 30 September 20X4 were prepared. However, during the year ended 30 September 20X5, the estimate of the total number of executives expected to leave before 30 September 20X6 was revised to 12.

On 1 October 20X3, the fair value of a share option was \$2.50. At 30 September 20X4 and 20X5, the fair value of the option was \$2.00 and \$2.80 respectively.

On 1 April 20X5, because of disappointing financial results, Delta modified the terms of the arrangement with the senior executives by decreasing the exercise price. The results of this modification were to increase the fair value of a share option from \$2.10 to \$2.70.

2- Sale of two properties:

On 1 September 20X5, Delta decided to sell two properties which were surplus to requirements. Both properties were measured under the cost model.

Property 1

Property 1 was available and advertised for immediate sale in its current condition. This property had a carrying amount of \$50 million on 1 September 20X5. The property was being actively marketed at a realistic selling price of \$60 million. The advertising agents have advised that a sale should be achievable within three months of 1 September 20X5. The agents will charge a commission of 5% of the selling price.

Property 2

Property 2 required essential repair work to be undertaken on it prior to it being in a condition to be offered for sale. This work is planned for October 20X5 and is expected to cost \$10 million. This property had a carrying amount of \$40 million at 30 September 20X5. The selling agents have advised that once the work has been carried out, the property could realistically be sold for

\$45 million. The agents' commission will also be 5% of the selling price.

Neither property 1 nor property 2 will be able to generate any income for Delta after 1 September 20X5, other than through sale.

(10 marks)

3- Sale of two business units :

On 1 June 20X5 Delta sold two business units. The first unit was a business segment in its own right Delta made a decision to withdraw from this particular business segment and concentrate on its 'core' business. This segment generated post-tax profits of \$5 million from 1 October 20X4 to 31 May 20X5. On 1 June 20X5, the net assets of the segment were \$50 million. The sale proceeds were \$54 million.

The second sale was one of Delta's distribution centres as a result of a decision to rationalise the way in which Delta distributed its products. The net assets of the distribution centre were \$10 million and it was sold for \$12 million.

The income tax rate applicable to Delta is 20%.

(5 marks)

(a) Using the information in Exhibit 1, explain and compute the amounts that would be recognised by Delta in its financial statements for the year ended 30 September 20X5 and state where in the financial statements they should be presented.

(10 marks)

(b) Using the information in Exhibits 2 and 3, explain how each event would be measured and recognised in Delta's financial statements for the year ended 30 September 20X5.

(15 marks)

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- The mark allocations for part (b) are indicated in Exhibits 2 and 3.

Q4:

Exhibits

You are the financial controller of Omega, a listed entity involved in the exploration for and evaluation of mineral resources. One of Omega's directors has raised some queries following his review of the consolidated financial statements for the year ended 30 September 20X5.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

- | | |
|---------------------------------------|--|
| 1. Exploration and evaluation assets. | |
| 2. Events after 30 September 20X5. | |
| 3. Use of IFRS Standards. | |

This information should be used to answer the question **requirement** within the **response option** provided.

1- Exploration and evaluation assets:

When I looked at our financial statements. I saw a note which gave a breakdown of our exploration and evaluation assets. I compared it with that of a competitor and I have the following three questions.

First, both notes showed the breakdown of the exploration and evaluation assets figure into various categories but they are not presenting the same categories despite both companies operating in similar ways. How can this be right when both companies use IFRS Standards to prepare their financial statements?

Second, why does neither company include the costs of developing mineral resources as part of the exploration and evaluation assets figure? As a key part of both of our businesses, should these costs not be recognised as part of this figure?

Finally, the financial statements state that we measure our exploration and evaluation assets using the cost model while the competitor's state they use the revaluation model. Is this an acceptable inconsistency when both companies are preparing financial statements in accordance with IFRS Standards?

(7 marks)

2- Events after 30 September 20X5:

When I read two notes to our financial statements, they seemed to contradict each other. One of the notes referred to a legal case from December 20X4 in which we were being sued for damages by a customer. We originally thought Omega would have to pay damages of \$5 million but the case was finally settled for \$5.5 million on 20 October 20X5. The financial statements at 30 September 20X5 presented a liability for \$5.5 million, despite this only being confirmed after the year end.

A second note referred to the major fire in one of our factories on 15 October 20X5. The damage caused to the factory is estimated at \$5.75 million. However, the note says that no adjustments have been made to the amounts recognised in the financial statements for the year ended 30 September 20X5 in respect of the damage caused by the fire. This will have a significant, but temporary impact on the cash flow of the business, however, it will not cause our own going concern status to be in doubt.

The two events are not being treated consistently despite the financial amounts being similar. Please can you explain these apparent inconsistencies?

I am aware that a major customer, owing us a significant amount, became insolvent on 20 November 20X5. We are unlikely to recover much, if any, of this debt. Why don't the financial statements contain at least a note explaining to our shareholders what has happened?

I am aware that the financial statements were authorised for issue on 15 November 20X5.

(10 marks)

3- Use of IFRS Standards:

You will know that we acquired a new subsidiary, Epsilon, on 1 October 20X4. Epsilon has a year end of 30 September and has prepared financial statements using national accounting standards, not IFRS Standards. Now that they have become part of the Omega group, we will of course require them to use IFRS Standards. We have incorporated their results into our consolidated financial statements using IFRS Standards but Epsilon needs to know what to do in its own financial statements. They have the IFRS Standard compliant financial statements for the year ended 30 September 20X5 but what about the comparative figures? Can they use the financial statements for their year ended 30 September 20X4, prepared under the national accounting standards, as comparative figures for their 20X5 financial statements? Please let me know how to advise the financial controller of Epsilon.

(8marks)

Provide answers to the queries raised in Exhibits 1 - 3 relating to the consolidated financial statements for the year ended 30 September 20X5. These financial statements were authorised for issue on 15 November 20X5.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

Marks

1 Consolidated statement of financial position of Alpha at 30 September 20X5
(All numbers in \$'000)

	\$'000	
Assets		
Non-current assets		
Property, plant and equipment (250,000 + 170,000 + 44,000 (W1))	464,000	$\frac{1}{2}$
Goodwill (W2)	34,520	$6\frac{1}{2}$ (W2)
	<u>498,520</u>	
Current assets		
Inventories (80,000 + 60,000 – (20,000 x 25%))	135,000	$\frac{1}{2} + 1$
Trade receivables (90,000 + 55,000)	145,000	$\frac{1}{2}$
Cash and cash equivalents (30,000 + 25,000)	55,000	$\frac{1}{2}$
	<u>335,000</u>	
Total assets	<u><u>833,520</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital (\$1 shares)	160,000	$\frac{1}{2}$
Retained earnings (W5)	138,540	$6\frac{1}{2}$ (W5)
Other components of equity (W7)	52,500	3 (W7)
	<u>351,040</u>	
Non-controlling interest (W4)	58,680	2 (W4)
Total equity	<u>409,720</u>	
Non-current liabilities		
Long-term borrowings (90,000 + 15,000))	105,000	$\frac{1}{2}$
Deferred tax (20,000 + 15,000 + 8,800 (W1))	43,800	$\frac{1}{2} + \frac{1}{2}$
Contingent consideration payable	50,000	$\frac{1}{2}$
Pension liability (160,000 – 105,000)	55,000	$\frac{1}{2}$
Total non-current liabilities	<u>253,800</u>	
Current liabilities		
Trade and other payables (70,000 + 50,000)	120,000	$\frac{1}{2}$
Current tax payable (30,000 + 20,000)	50,000	$\frac{1}{2}$
Total current liabilities	<u>170,000</u>	
Total liabilities	<u>423,800</u>	
Total equity and liabilities	<u><u>833,520</u></u>	<u><u>25</u></u>

Working 1 – Net assets table for Beta

	1 October 20X4 \$'000	30 September 20X5 \$'000	For W2	For W5
Share capital	80,000	80,000	$\frac{1}{2}$	
Retained earnings:				
Per financial statements of Beta	80,000	85,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustments (post-acquisition additional depreciation 55,000 x $\frac{1}{5}$ = 11,000)	55,000	44,000	$\frac{1}{2}$	$\frac{1}{2}$
Deferred tax on fair value adjustments:	(11,000)	(8,800)	$\frac{1}{2}$	$\frac{1}{2}$
Unrealised profit on intra-group sales by Beta (25% x 20,000)		(5,000)		$\frac{1}{2}$
Other components of equity	45,000	45,000	$\frac{1}{2}$	$\frac{1}{2}$
Net assets for the consolidation	<u>249,000</u>	<u>240,200</u>	<u>$2\frac{1}{2}$</u>	<u>$2\frac{1}{2}$</u>
			→ W2	→ W5

Decrease in net assets (249,000 – 240,200) = 8,800

Working 2 – Goodwill on acquisition of Beta

	\$'000	
Cost of investment:		
Cash paid	175,000	½
Fair value of contingent consideration at date of acquisition	60,000	½
Non-controlling interest at date of acquisition	65,000	½
Net assets at date of acquisition (W1)	(249,000)	2½ (W1)
Goodwill at date of acquisition	51,000	
Impairment at 30 September 20X5 (W3)	(16,480)	2½ (W3)
Goodwill at 30 September 20X5	34,520	6½

Working 3 – Impairment of goodwill at 30 September 20X5

	Unit A \$'000	Unit B \$'000	Unit C \$'000	Total \$'000	
Fair value of identifiable net assets of Beta at 30 September 20X5 (40:35:25)	96,080	84,070	60,050	240,200	½
Goodwill on acquisition (W2) (40:35:25)	20,400	17,850	12,750	51,000	½
	116,480	101,920	72,800	291,200	
Recoverable amounts of CGUs	(100,000)	(110,000)	(80,000)		½
Impairment	16,480	Nil	Nil		1
					2½
					→ W2

Working 4 – Non-controlling interest in Beta

	\$'000	
At date of acquisition	65,000	½
25% of post-acquisition decrease in net assets (25% x 8,800 (W1))	(2,200)	½ + ½
25% of impairment of goodwill of (25% x 16,480 (W3))	(4,120)	½
	58,680	2

Working 5 – Retained earnings

	\$'000	
Alpha – per draft SOFP	150,000	½
Adjustment re: defined benefit retirement plan (W6)	2,500	1 (W6)
Reduction in fair value of contingent consideration (60,000 – 50,000)	10,000	1
Acquisition costs of Beta	(5,000)	½
75% of post-acquisition share of Beta (75% x 8,800 (W1))	(6,600)	½ + 2½ (W1)
75% of impairment of goodwill of (75% x 16,480 (W3))	(12,360)	½
	138,540	6½

Working 6 – Adjustment re: defined benefit retirement plan

	\$'000	
Current service cost and net interest cost	(27,500)	½
Contributions incorrectly charged to retained earnings	30,000	½
Adjustment to retained earnings	2,500	1
		→ W5

Working 7 – Other components of equity

	\$'000	
Alpha – per draft financial statements	60,000	½
Actuarial gain/(loss) on defined benefit retirement plan (W8)	(7,500)	2½ (W8)
	52,500	3

Working 8 – Actuarial gain/(loss) on defined benefit retirement plan

	\$'000	
Opening liability	50,000	½
Current service cost and net interest cost	27,500	½
Contributions paid into plan	(30,000)	½
	47,500	
Actuarial loss on re-measurement (balancing figure)	7,500	½
Closing liability (\$160,000 – \$105,000)	55,000	½
		2½
		→ W7

2 Exhibit 1 – Issue of convertible loan (all figures in \$'000)

Under the principles of IFRS® 9– *Financial Instruments* – convertible loans need to be split into their liability and equity elements by computing the liability element and deriving the equity element as the balancing figure.

½ (principle)

The liability element is computed by discounting the future amounts payable assuming the loan is repaid using the discount rate equivalent to the return which would be required by a lender without any conversion option – the market rate.

½ (principle)

In this case, the liability element is \$184,840,000 (\$16 million x 3.79) + \$(200 million x \$0.621).

1 + 1

Therefore the equity element is \$15,160,000 (\$200 million – \$184,840,000) – OF rule applies here.

½

The issue costs are deducted from the equity and liability elements in proportion to their carrying amounts before such a deduction.

1 (principle)

Therefore the amount deducted from the liability element will be **\$1,848,000** (\$2 million x 184,840/200,000) and the amount deducted from the equity element will be **\$152,000** (\$2 million – \$1,848,000).

1 + ½

The resulting equity element – which is \$15,008,000 (\$15,160,000 – \$152,000) – will be **unchanged** from 1 October 20X4 and will be presented in the statement of financial position in the **equity** section as **other components of equity**.

½ + ½

The carrying amount of the loan element after deducting the issue costs will be \$182,992,000 (\$184,840,000 – \$1,848,000).

½

The finance cost for the year ended 30 September 20X5 will be **\$18,848,000** (\$182,992,000 x 10.3%) and the liability at 30 September 20X5 **\$185,840,000** (\$182,992,000 + \$18,848,000 – \$16 million).

½ + 1

The finance cost of \$18,848,000 for the year ended 30 September 20X5 will be presented in the statement of profit or loss and other comprehensive income as a finance cost.

½

The liability of \$185,840,000 at 30 September 20X5 will be presented as a non-current liability in the statement of financial position.

½

10

Exhibit 2 — Purchase of machine

Under the principles of IAS® 16 – *Property, Plant and Equipment* (PPE) – the machine will be recognised as an asset in PPE from 30 November 20X4, the date of delivery.

½ (principle)

Under the principles of IAS 16, the **installation costs and the costs of the inspection and the safety certificate** will be included in the initial carrying amount of PPE **because** these costs are necessarily incurred in getting the machine ready for use.

½ + ½

\$30 million will be added to PPE on 30 November 20X4, a further \$60 million in the period from 1 December 20X4 to 30 April 20X5, and \$600,000 on 15 May 20X5.

½

Under the principles of IAS 16, employee training costs **cannot** be recognised as part of the carrying amount of PPE. They are specifically excluded by IAS 16. Therefore these costs (of \$1 million) will be shown as an **operating expense** in the statement of profit or loss and other comprehensive income for the year ended 30 September 20X5.

½ + ½

Under the principles of IAS 23 – *Borrowing Costs* – **borrowing costs** which are **directly** attributable to the acquisition of an asset should be included as part of the carrying amount of that asset.

½ + ½ (principle)

	Marks
The costs which are eligible for such treatment are those incurred in the period starting from the date expenditure is incurred on the asset and ending on the date the asset is ready for use.	$\frac{1}{2}$ (principle)
In this case, that means that the relevant period is the six months from 1 December 20X4 until 31 May 20X5 and the relevant borrowing costs to capitalise will be \$1.8 million (\$90 million x 4% x 6/12).	$\frac{1}{2} + 1$
This means that the total depreciable amount of the PPE will be \$92.4 million (\$30 million + \$60 million + \$600,000 + \$1.8 million).	$\frac{1}{2}$
Under the principles of IAS 16, depreciation commences when an asset is ready for use (1 June 20X5) rather than when it is brought into use (31 July 20X5).	$\frac{1}{2}$ (principle)
Under the principles of IAS 16, a single physical asset which has two or more significant components with different useful lives is regarded as two assets for depreciation purposes.	$\frac{1}{2}$ (principle)
In this case, one component is the engine element with an initial carrying amount of \$24 million – its fair value at the date of acquisition . The estimated future replacement cost is not relevant.	$\frac{1}{2} + \frac{1}{2}$
The depreciation of this component for the year ended 30 September 20X5 will be \$1.6 million (\$24 million x $\frac{1}{5}$ x $\frac{4}{12}$).	$\frac{1}{2} + \frac{1}{2}$
The residual component has a carrying amount of \$68.4 million (\$92.4 million – \$24 million) and its depreciation for the year ended 30 September 20X5 will be \$2,280,000 (\$68.4 million x $\frac{1}{10}$ x $\frac{4}{12}$).	$\frac{1}{2} + \frac{1}{2}$
The total depreciation expense in the statement of profit or loss and other comprehensive income for the year ended 30 September 20X5 will be \$3,880,000 (\$1.6 million + \$2,280,000). This will be presented as an operating expense.	$\frac{1}{2} + \frac{1}{2}$
The balance in PPE on 30 September 20X5 will be \$88,520,000 (\$92.4 million – \$3,880,000). This will be presented under non-current assets .	$\frac{1}{2} + \frac{1}{2}$
The finance cost on the loan for the current year will be \$3.3 million (\$90 million x 4% x $\frac{11}{12}$). The amount not capitalised of \$1.5 million (\$3.3 million – \$1.8 million) will be shown as a finance cost in the statement of profit or loss and other comprehensive income .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The closing loan balance will be \$93.3 million (\$90 million + \$3.3 million). This will be presented as a current liability.	$\frac{1}{2} + \frac{1}{2}$
	15
	25

3 Exhibit 1 – Share-based payment

Under the principles of IFRS 2 – <i>Share-based payment</i> – equity settled share-based payment obligations are measured using the fair value of the equity instruments to be issued at the grant date. In this case, therefore, the relevant fair value is \$2.50 per option.	$\frac{1}{2} + \frac{1}{2}$
Where vesting conditions apply (as is the case here) then, in the case of non-market conditions, the number of options expected to vest is adjusted to latest estimates at the end of the reporting period.	$\frac{1}{2}$ (principle)
Therefore, for the year ended 30 September 20X4, the expected total cost of the arrangement is \$300,000 (3,000 x 40 x \$2.50).	1
The cost is recognised in profit or loss over the vesting period. Therefore the amount recognised in profit or loss for the year ended 30 September 20X4 is \$100,000 (\$300,000 x $\frac{1}{3}$).	$\frac{1}{2} + \frac{1}{2}$
The expected total cost of the arrangement at 30 September 20X5 would be \$285,000 (3,000 x {50 – 12} x \$2.50).	1
Therefore the cumulative amount recognised in profit or loss up to 30 September 20X5 in respect of the original arrangement will be \$190,000 (\$285,000 x $\frac{2}{3}$) and the actual amount recognised for the year ended 30 September 20X5 will be \$90,000 (\$190,000 – \$100,000). This will be shown as an employment expense under operating expenses.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The modification to the terms of the arrangement which takes place on 1 April 20X5 will be an additional cost which will be recognised over the remaining vesting period . This additional cost will be based on the increase in the fair value of an option caused by the modification.	$\frac{1}{2} + \frac{1}{2}$
In this case, the additional cost which will be recognised over the remaining vesting period will be \$68,400 (3,000 x 38 x { \$2.70 – \$2.10 }).	1
The amount which will be recognised in the year ended 30 September 20X5 will be \$22,800 (\$68,400 x $\frac{6}{18}$) and so the total charge to profit or loss for the year ended 30 September 20X5 in respect of the arrangement will be \$112,800 (\$90,000 + \$22,800).	$\frac{1}{2} + \frac{1}{2}$

Marks

The cumulative total cost recognised to date of **\$212,800** (\$190,000 + \$22,800) will be shown in the equity section of the statement of financial position at 30 September 20X5.

$\frac{1}{2} + \frac{1}{2}$

10

Exhibit 2 – Sale of two properties

Under the principles of IFRS 5 – *Non-current Assets Held for Sale and Discontinued Operations* – property 1 **would** be classified as 'held-for-sale' from 1 September 20X5. This is **because** the property is available for immediate sale in its current condition, is being actively marketed at a reasonable price, and a sale is expected in less than 12 months.

$\frac{1}{2} + \frac{1}{2}$ (principle)

Property 1 is removed from non-current assets (PPE) and separately classified as a current asset on the statement of financial position as a 'held for sale' asset.

1

When an asset is classified as held-for-sale, it is **measured at the lower of its current carrying amount and its fair value less costs to sell**. Held-for-sale assets are **not** depreciated after classification.

1 + $\frac{1}{2}$ (principle)

The fair value less costs to sell for property 1 is \$57million (95% x \$60 million). Therefore property 1 will be measured at \$50 million.

1

Property 2 cannot be classified as held-for-sale because it is not available for immediate sale in its current condition. Therefore it will continue to be presented in PPE.

1

Based on the information available in the question, it would appear that property 2 has suffered impairment.

$\frac{1}{2}$ (principle)

An asset has suffered impairment if its recoverable amount is lower than its carrying amount. Recoverable amount is the higher of value-in-use and fair value less costs to sell.

1 (principle)

Since property 2 is not able to generate any future income for Delta other than through sale, then in this case the recoverable amount of the property is its fair value less costs to sell.

$\frac{1}{2}$ (principle)

The fair value less costs to sell of property 2 is \$32.75 million (\$45 million x 95% – \$10 million). The repair costs of \$10 million are necessarily incurred in getting the property into a saleable condition and so are deducted in computing its fair value less costs to sell.

1 + $\frac{1}{2}$

Property 2 will therefore be recognised in PPE at \$32.75 million.

$\frac{1}{2}$

An impairment loss of \$7.25 million (\$40 million – \$32.75 million) will be recognised as an operating expense in the statement of profit or loss and other comprehensive income.

$\frac{1}{2}$

10

Exhibit 3 – Sale of two business units during the year

Under the principles of IFRS 5, the segment would be regarded as a discontinued operation because it is a separate line of business which has been disposed of in the period.

1 (principle)

This means that, in the statement of profit or loss and other comprehensive income, the results and post-tax gain or loss on sale would be presented as a single amount below the profit after tax from continuing operations and described as profit or loss on discontinued operations.

1 (principle)

In this case, the amount would be \$8.2 million (\$5 million + ((\$54 million – \$50 million) x 80%)).

1

The sale of the distribution centres is not separately presented as it is not a discontinued operation – the distribution operations of Delta are being reorganised, not discontinued.

1 (principle)

The profit on disposal of the distribution centre of \$2 million (\$12 million – \$10 million) would be recognised as part of its pre-tax profit for the year.

1

5

25

4 Exhibit 1 – Exploration and evaluation assets

IFRS 6 – *Exploration for and Evaluation of Mineral Resources* – specifies financial reporting in this area.

$\frac{1}{2}$ (principle)

IFRS 6 does not specifically prescribe what expenditures should be included as exploration and evaluation assets. Relevant entities are allowed to determine an accounting policy which specifies which expenditures should be included as exploration and evaluation assets and must apply it consistently. (Exact wording not needed – just the overall sense of the point.)

2

	Marks
IFRS 6 states that, in making this determination, entities should consider the degree to which the expenditure can be associated with finding the specific mineral resources it is seeking.	1
Therefore it is quite possible that two entities in fairly similar sectors might make a different assessment of their accounting policies given very specific criteria which might apply to one entity or another. (Exact wording not needed – just the overall sense of the point.)	1
IFRS 6 does, however, specifically prohibit the inclusion of the costs of developing mineral resource in the exploration and evaluation assets figure. Such expenditures should be accounted for in accordance with IAS 38 – Intangible Assets .	1 + ½
IFRS 6 allows exploration and evaluation assets to be measured under either the cost model or the revaluation model.	1
	<u>7</u>

Exhibit 2 – Events occurring after 30 September 20X5

The accounting treatment of events occurring after the year-end date is set out in IAS 10 – <i>Events after the Reporting Period</i> .	½ (principle)
IAS 10 defines events after the reporting period as being those events occurring after the end of the reporting period up to the date the financial statements are authorised for issue (15 November 20X5).	1
IAS 10 classifies events after the reporting period into two types – adjusting and non-adjusting.	½ (principle)
Adjusting events provide additional evidence of conditions existing at the reporting date. (Exact wording not needed – just the overall sense of the point.)	1
The information about the legal case provides additional evidence about the final liability and so is an adjusting event, so it is proper to recognise the correct amounts (\$5.5m) in the financial statements. (Exact wording not needed – just the overall sense of the point.)	2
The fire at the factory does not relate to conditions at the reporting date and so is non-adjusting.	1
IAS 10 requires disclosure of the impact of non-adjusting events in the notes to the financial statements. The only exception to this rule would be if the event impacted on the going concern status of Omega. This is not the case based on the information provided.	1 + 1
The insolvency of the customer occurred after the financial statements were authorised for issue so it is not reportable in the financial statements for the year ended 30 September 20X5. (Exact wording not needed – just the overall sense of the point.)	2
	<u>10</u>

Exhibit 3 – Use of IFRS Standards in the financial statements of a subsidiary

The principles underpinning the first-time preparation of financial statements under IFRS Standards are set out in IFRS 1 – <i>First-time Adoption of International Financial Reporting Standards</i> .	½
IFRS 1 requires that both the financial statements for the current period and the comparative figures be presented using IFRS Standards in force at the first reporting date under IFRS Standards. In this case, this date is 30 September 20X5.	1
The starting point for the first-time adoption of IFRS Standards is to prepare the opening IFRS Standards statement of financial position. This is the statement of financial position at the start of the earliest period for which Epsilon presents comparative information in its first full IFRS Standards financial statements. In Epsilon's case, this date is 1 October 20X3 .	1 + ½
Unless there is objective evidence that they were in error, the accounting estimates used in the opening IFRS Standards statement of financial position should be consistent with those used in the financial statements of Epsilon's prepared using national standards.	1
The opening IFRS Standards statement of financial position needs to be published in Epsilon's first set of IFRS Standards financial statements. Therefore the financial statements at 30 September 20X5 will contain three statements of financial position, rather than the usual two.	1
Despite there being three statements of financial position in the financial statements for the year ended 30 September 20X5, there will be only two statements of profit or loss and other comprehensive income and statements of changes in equity in these financial statements.	1
There is likely to be a difference between the net assets at 1 October 20X3 using national standards and the net assets using IFRS Standards. This difference will be recognised in the statement of changes in equity for the comparative period, rather than in the statement of profit or loss and other comprehensive income.	1

The first set of IFRS Standards financial statements need to include reconciliations of equity at all dates previously reported under national standards to equity reported under IFRS Standards. In the case of Epsilon, reconciliations will be required at 1 October 20X3 and 30 September 20X4.

Marks
1
8
25